

Shareholder Letter Q2 FY2025

Siemens Energy Investor Relations

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Dear shareholders,

Let me briefly introduce myself before we dive into our second quarter results. My name is Tobias Hang and I have been the new Head of Investor Relations since May 1.

Siemens Energy (SE) delivered a strong quarter and exceeded market expectations, and therefore we already announced preliminary results on April 16. On May 8, 2025, Christian Bruch, our CEO, and Maria Ferraro, our CFO, presented our results for the second quarter of fiscal year 2025.

"The rising demand for electricity led to an exceptionally strong quarter and first half of the fiscal year for our business. The improved outlook reflects our confidence in the ongoing market opportunities and our excellent project execution. Even in light of the uncertain macroeconomic factors, our focus remains on profitable growth", said Christian Bruch.

Favorable market trends have led to a broad-based increase in demand for our products. In addition, SE demonstrated strong project execution and operational performance in the quarter, to which all segments contributed. **Overall, SE achieved one of the strongest quarters ever.**

SE's orders amounted to €14.4bn. This was 52.3% higher than in the prior-year quarter¹. In addition to sharp growth at Grid Technologies, the upturn was primarily due to **Gas Services, which recorded the highest orders in a quarter to date**. Book-to-bill ratio (ratio of orders to revenue) was again strong with 1.45, leading to a **new record level of €133bn in the order backlog**.

Revenue increased double-digit in all segments. Overall, revenue grew by 20.7%¹ to €10.0bn. SE's Profit before Special items (SI) amounted to €906m, reflecting a margin of 9.1%. All segments contributed to the increase year-over-year (Q2 FY24: €170m). Special items were neg. €291m (Q2 FY24: €331m) primarily relating to the sale of the Indian wind business. SE's Profit came in at €615m (Q2 FY24: €501m). Net income was €501m (Q2 FY24: €108m). The corresponding basic earnings per share amounted to €0.50 (Q2 FY24: €0.08).



Free cash flow pre tax amounted to €1,390m, sharply increased compared to Q2 FY24 (€483m). Almost all segments contributed to this improvement. In addition to the profit development, this was primarily due to customer payments including reservation fees.

Due to the positive business development, **SE updated the outlook for fiscal year 2025**. SE now expects for the Group to achieve **comparable revenue growth in a range of 13% to 15%** in fiscal year 2025 and a **Profit margin before SI between 4% and 6%**. SE expects a **Net income of up to €1bn** excluding assumed positive Special items subsequent to the demerger of the energy business from Siemens Limited, India. The outlook for **Free cash flow pre tax** for the fiscal year 2025 is **updated to around €4bn** (see page 5).

SE is closely monitoring the situation regarding the tariffs announced by the US government and continuously analyzing their potential impact. For the second half of the fiscal year 2025, a limited direct impact on SE's Profit of up to a high double-digit million € amount is currently expected (see page 3).

My team and I are looking forward to continuing Siemens Energy's journey together with you. In case you have any comments or suggestions, please do not hesitate to contact us. Thank you very much for your support!

All the best

Tobias Hang | Head of Investor Relations

Orders Q2

€14.4bn +52%¹

Revenue Q2

€10.0bn +21%¹

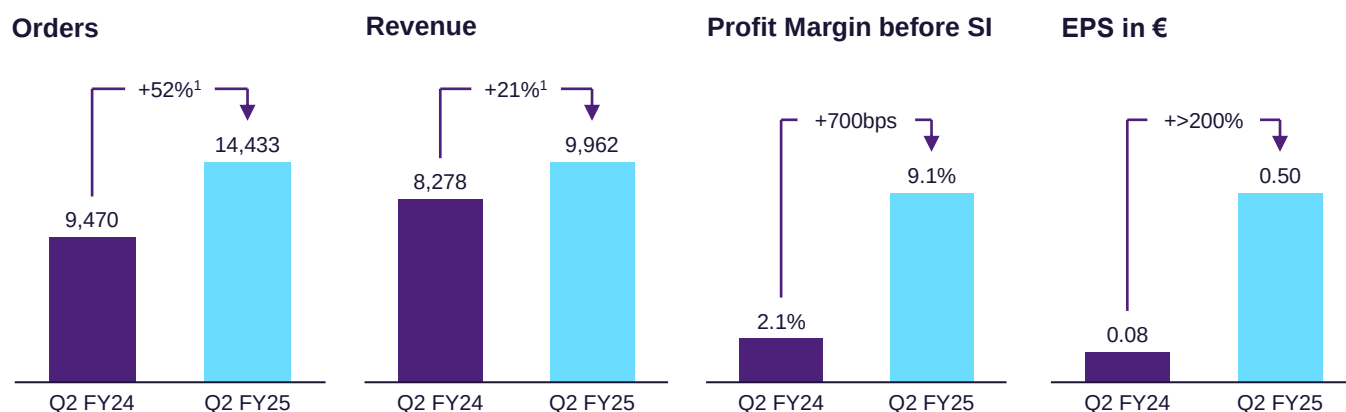
Profit before SI² Q2

€906m +>200%

¹ Comparable basis: Excluding currency translation and portfolio effects

Siemens Energy in Q2 FY2025

(in €bn, except where otherwise stated)



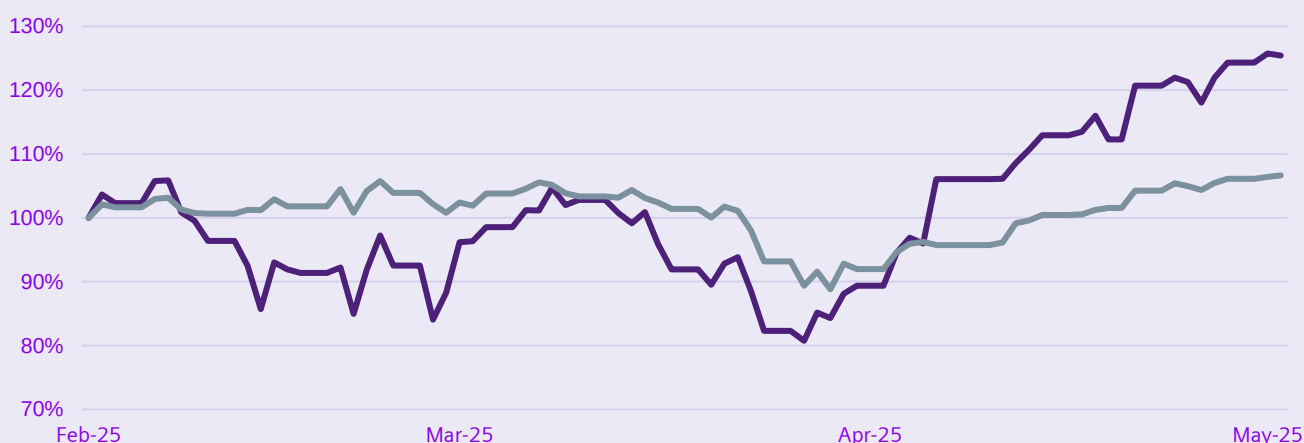
Business Areas	Orders		Revenue		Profit Margin before SI	
	in €m	Change ¹	in €m	Change ¹	in %	Change
Q2 FY2025						
Gas Services	7,038	+102.1%	3,163	+18.7%	16.1%	+170bps
Grid Technologies	5,209	+41.6%	2,861	+33.7%	19.9%	+860bps
Transformation of Industry	1,564	(1.5)%	1,411	+10.5%	11.0%	+480bps
Sustainable Energy Systems	22	+>200%	48	+19.6%	(23.0)%	+4,310bps
Electrification, Automation, Digitalization	362	+6.3%	360	+3.4%	8.3%	+130bps
Industrial Steam Turbines & Generators	556	+58.5%	405	+7.4%	12.5%	+470bps
Compression	626	(30.0)%	634	+21.0%	13.4%	+370bps
Siemens Gamesa	875	(1.0)%	2,706	+16.2%	(9.2)%	+1,010bps

¹ Comparable (excluding currency translation and portfolio effects)

Share performance

February 12, 2025 – May 13, 2025

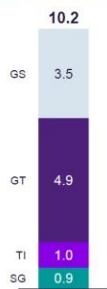
Siemens Energy | DAX



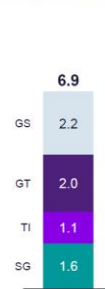
Siemens Energy +25.4% · DAX +6.6% · GE Vernova +18.8% · Baker Hughes (17.8)% · Hitachi (3.9)% · MHI +23.8%

Siemens Energy in the U.S. – well positioned for over a century

Orders¹ in FY24 (in €bn)



Revenue¹ in FY24 (in €bn)



~12,000 employees

>100 years presence

~€24bn order backlog¹

~€500m Capex FY23-25

¹ numbers relate to 3rd party country of customer

Siemens Energy has been present in the United States for more than 100 years and some major acquisitions such as the Westinghouse Power Generation business in 1998 and Dresser Rand in 2014 have increased our footprint significantly.

Currently we have eight major manufacturing sites and a total of around 12,000 employees working in the United States.

It is one of our most important markets with €7bn of revenue in fiscal year 2024 and orders of more than €10bn, which are currently significantly increasing. The order backlog at the end of fiscal year 2024 stood at around €24bn.

Based on the great potential we see in the United States we continue to expand our footprint in the US. We will have invested roughly 500 million Euro in the United States by the end this fiscal year since fiscal year 2023.

Considerations on U.S. tariffs – mitigation measures in progress

With the potential tariffs impact in the U.S., the outlook for the global economy has become more uncertain. We are closely monitoring the developments and continuously analyzing the potential impact. At the same time, we are taking proactive steps to mitigate those. We have set up a global task force to assess the best approach for Siemens Energy, acknowledging the complexity and fluidity of the situation. This is an ongoing exercise, and we focus on what we can control.

Existing protections

- **Strong U.S. footprint**
- **Contractual terms** for equipment backlog limit tariff risk
- **Service contracts with strong local cost base**

When it comes to existing protections, we have contractual terms such as change-of-law clauses, which largely protect our equipment backlog. According to those, the cost associated with the import are charged to the customer. When it comes to the service business the picture is more mixed. Contracts differ widely but service contracts have in common that the cost base is more local, and that escalation clauses are embedded in

these contracts which provide us with a certain degree of protection.

Further mitigation measures

- **Supply chain: Increase local content and identify alternative suppliers** for imported parts
- **Increase utilization of U.S. footprint** for production, processing and repair of key components
- **Price adjustments** for all new orders

Although we are to a large degree covered through the duration of our backlog, we are working on further mitigation measures with the target to raise our local content in the United States. This accounts to the supply chain as well as our own production. This will take time, and we are taking a step-by-step approach. In new contracts, we will include price adjustments and ensure adequate protection clauses are utilized.

Estimated bottom line net impact of tariffs in H2 FY25¹

up to high double-digit €m

Continued monitoring of trade policy effects on GDP, energy and electricity demand and customer behavior

¹ Estimated impact of tariffs as currently outlined (April 16th), after mitigation measures.

In our raised guidance for fiscal year 2025 we have anticipated what we know as of today with respect to tariffs.

For the second half of

the fiscal year, we are currently estimating a limited direct impact to Siemens Energy of up to a high double digit profit impact after mitigation. This includes already existing protection as well as the short-term measures we have at hand.

Securing growth and enhancing portfolio – our path to drive profitability

Strategic cooperation to broaden portfolio

Siemens Energy and Rolls-Royce SMR have entered into a partnership agreement that is expected to lead to the exclusive supply of conventional technology for future Small Modular Reactors (SMR). Under this agreement, **Siemens Energy is to be the sole supplier of steam turbines, generators, and other auxiliary systems** for the British manufacturer's planned Generation 3+ modular nuclear power plants. The final contract, detailing all specifics, is expected to be completed by the end of 2025.

SMRs are considered a promising technology for the future of nuclear energy and a key factor in the success of the energy transition. They are more compact, safer, and more cost-efficient than conventional nuclear power plants. Rolls-Royce SMR is currently developing a "mini nuclear power plant" that can be operational much faster than traditionally built plants, thanks to its standardized, modular design. Rolls-Royce SMR's pressurized water reactors are designed to achieve an electrical output of up to 470 MW, enough to supply approximately 1.1 million households with electricity.

For decades, Siemens Energy has been a supplier and service provider of components for the so-called "power island," the non-nuclear part of the power plant. SE's solutions for nuclear power plants include steam turbines and generators with outputs ranging from 20 MW to 1,900 MW, as well as operational control technology and control systems.

What is an SMR?

SMRs are compact nuclear power plants, often referred to as mini nuclear power plants. They can be prefabricated and assembled in a factory, then transported to the site ready for use. This significantly reduces construction time, complexity and costs. They require significantly less space than conventional nuclear power plants.

How does a Small Modular Reactor work?

An SMR operates similarly to traditional nuclear reactors but on a smaller scale. The core contains nuclear fuel, typically uranium, which releases a significant amount of heat through nuclear fission. This heat converts water into steam, which drives a turbine connected to a generator, thus producing electricity.

Proven Offshore track record – 5,000th Offshore turbine installed



In 1991, Wind Power made history by installing the world's first offshore wind farm at Vindeby, Denmark. What began with 11 turbines of just 450kW each has now grown into a remarkable achievement: the installation of **our 5,000th offshore turbine at the Sofia Offshore Wind Farm in the UK.** This is one of the world's largest offshore wind farms and the largest in RWE's offshore portfolio.

Our 5,000 offshore turbines have been installed across 14 countries, including Belgium, China, Denmark, Finland, France, Germany, Japan, Netherlands, Norway, South Korea, Sweden, Taiwan, the United Kingdom, and the U.S., **with a total capacity exceeding 27 GW.** With a combined output of approximately 540 billion kWh, our 5,000 offshore turbines now power over 27 million households with clean energy – saving around 139 million tons of CO₂ emissions. Our journey is not only a testament to innovation and dedication but also a major step forward in the fight against climate change. This achievement is not just a celebration of the past — it's a promise for the future.

Tobias Hang appointed Head of Investor Relations



Tobias Hang has been appointed Senior Vice President Investor Relations, effective 1 May 2025.

In his prior role as Senior Investor Relations Manager he already made a significant contribution to the successful positioning of Siemens Energy on the financial market in recent years, as he joined the Siemens Energy Investor Relations team already in preparation of the spin-off from Siemens AG.

Previously, he held various positions in Investor Relations and Business Development at Siemens AG. Tobias holds a Master of Science degree in Information Management.

Michael Hagmann, his predecessor, who managed the Investor Relations team since the spin-off, takes over a new role at Siemens Gamesa as head of strategy.

Financial outlook raised

	H1 FY2025		FY2025 Outlook	
	Revenue growth ¹	Profit Margin before SI ²	Revenue growth ¹	Profit Margin before SI ²
Gas Services	12.3%	15.4%	11 – 13% (prev. 7 – 9%)	11 – 13% (prev. 10 – 12%)
Grid Technologies	29.0%	16.5%	24 – 26% (prev. 23 – 25%)	14 – 16% (prev. 10 – 12%)
Transformation of Industry	14.0%	11.4%	13 – 15% (prev. 11 – 13%)	9 – 11% (prev. 8 – 10%)
Siemens Gamesa	17.2%	neg. €623m	0 – 2% (prev. (9) – (5)%)	around neg. €1.3bn (unchanged)
Siemens Energy	19.6%	7.3%	13 – 15% (prev. 8 – 10%)	4 – 6% (prev. 3 – 5%)
Net Income	€753m		up to €1bn ³ (prev. around break-even ³)	
Free Cash Flow pre tax ⁴	€2.9bn		around €4bn (prev. up to €1bn)	

This outlook excludes charges related to legal and regulatory matters.

1 Comparable revenue growth: Excluding currency translation and portfolio effects | 2 Profit margin in % of revenue with profit as earnings before financial result, income taxes, amortization expenses related to intangible assets acquired in business combinations, and goodwill impairments | 3 excluding assumed positive Special items subsequent to the demerger of the energy business from Siemens Limited, India | 4 Free cash flow pre tax as operating cash flow less purchase of intangibles assets and property, plant and equipment and less Income taxes paid

Financial Calendar

Aug. 6, 2025	3 rd quarter FY2025
Nov. 14, 2025	4 th quarter FY2025
Nov. 19/20, 2025	Capital Market Day

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